CASCADIA ANALYTICS

INVESTMENT SCORECARD

NSC

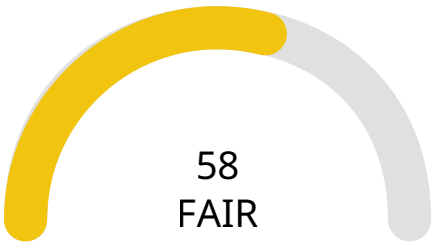
Norfolk Southern Corporation (NYSE)

As-of: 17-Oct-2026 | Latest Filing: Q2 2026 (10-Q) | Currency: USD

$326.92 [Mkt 17-Oct-26]

Market Cap: $73.6B [Mkt 17-Oct-26]

Attractiveness Score



Confidence: **Medium** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 78

Class I railroad with genuine duopoly economics in the East. OR improved from 76.5% to 64.2% GAAP since 2023, $4.4B railway operating income, steady dividend. But adjusted OR still 65.5%, well behind best-in-class peers, and leverage is high at 116% debt-to-equity.

2. Recent Trend — 70

Top line is genuinely strong: record quarterly revenue, +11% YoY, +4% volume. But margin control slipped badly, with adjusted OR up 210 bps and opex guidance raised to $8.8-8.9B. Revenue is carrying the stock, costs are not.

3. Forward Growth — 62

Intermodal and industrial demand are improving, $215M+ of productivity savings were delivered, and the merger promises $2.75B in synergies. But organic railroad growth is low-single-digit and the OR trajectory, not volume, decides earnings.

4. Valuation — 30

Standalone DCF base $192.51 implies 41% downside from $326.92, and the reverse DCF needs a 24.4% revenue CAGR, which is fantasy without the merger. The stock trades as merger paper at deal value, not as a railroad.

5. Catalysts & Risk — 60

Q3 earnings Oct 22 and STB procedural milestones are near-term positives; more unions now support the merger than oppose it. But this is a binary: STB

rejection would likely erase 30%+ of the price. Risk skew is fat-tailed and negative.

Investment Thesis

- **Merger Paper, Not a Railroad:** Union Pacific agreed to pay 1.0 UNP share plus $88.82 cash per NSC share, worth $320 at announcement, a 25% premium [8-K guid]. The STB accepted the revised application in May 2026, rejected dismissal motions in September, and set a procedural schedule; the companies expect to close in the second half of 2027.
- **Duopoly Economics Improving:** Eastern US Class I with record $3.5B quarterly revenue, +4% volume, and a GAAP operating ratio recovered from 76.5% in FY23 to 64.2% in FY25. Dividend of $5.40 annualized. The franchise is strong even if the price is not [8-K guid].
- **Standalone Price Makes No Sense:** At $326.92 [Mkt 17-Oct-26], the stock trades 70% above our $192.51 DCF base and the reverse DCF demands a 24.4% revenue CAGR. Without the merger, downside is severe. This is a bet on STB approval, not on the railroad.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q2 2026)	$3.5B [8-K guid]	+11% (record quarter) [8-K guid]	Up
Adj Operating Ratio (Q2 2026)	65.5% [8-K guid]	Worse by 210 bps [8-K guid]	Down
Adj Diluted EPS (Q2 2026)	$3.52 [8-K guid]	+7% [8-K guid]	Up
Total Debt	$16.6B [10-Q Q2 FY26]	D/E 116% [10-Q Q2 FY26]	Flat
Annualized Dividend	$5.40 [8-K guid]	1.65% yield [Mkt 17-Oct-26]	Flat
FY2026 Adj Opex Guide	$8.8-8.9B [8-K guid]	Raised after Q2 [8-K guid]	Up
Merger Implied Value (at announcement)	$320 [8-K guid]	25% premium to 30-day VWAP [8-K guid]	Flat

Historical Financial Trend

Metric	FY23	FY24	FY25	TTM
Revenue	$12.16B [10-K FY23]	$12.12B [10-K FY24]	$12.18B [10-K FY25]	$12.54B [10-Q Q2 FY26]
Op Ratio (GAAP)	76.5% [10-K FY23]	66.4% [10-K FY24]	64.2% [10-K FY25]	n/a [n/a]
Net Income	$1.83B [10-K FY23]	$2.62B [10-K FY24]	$2.87B [10-K FY25]	$2.64B [10-Q Q2 FY26]

Valuation

Absolute (2/10)

DCF Base $192.51 vs $326.92 = -41.1% [Mkt 17-Oct-26]
Reverse DCF implied CAGR 24.4% [Mkt 17-Oct-26]
Div yield 1.65% [Mkt 17-Oct-26]

On standalone fundamentals the stock is deeply overvalued; the reverse DCF CAGR is more than double anything the railroad has ever delivered.

Versus Peers (4/8)

JPM PT $318 Neutral, Susquehanna PT $350 Neutral [Peers 17-Oct-26]
UNP/CSX trade at similar ~20-22x forward P/E [Peers 17-Oct-26]

Analysts rate it on deal value, not earnings. The merger is the entire valuation debate.

Versus History (3/7)

Trading near 52-week high ($358.60) [Mkt 17-Oct-26]
Above the $320 merger announcement value

Price has been pinned to deal value since July 2025; there is no standalone re-rating story in the multiple.

Catalyst Timeline

Oct 22, 2026 [8-K guid]
Q3 2026 Earnings (Two-Sided): Record revenue streak vs OR pressure. Q2 adjusted OR worsened 210 bps despite +11% revenue.

2027 [8-K guid]
STB Merger Decision (Two-Sided): Approval

Top Risk Factors (Item 1A)

1. STB Merger Rejection: First major rail merger judged under the STB's 2001 rules, which require enhanced competition, not just maintenance. UP agreed to a $2.5B reverse termination fee if the deal dies. Rejection would collapse the merger premium. [8-K guid]

2. Economic Cyclicality: Freight volumes track industrial production. A recession would cut

locks in merger value; rejection collapses a ~70% premium to our standalone DCF base.

2027 [8-K guid]
Merger Synergies (Positive): $2.75B annualized synergies and 7 premium intermodal lanes if the UP deal closes.

What Would Change Our Score

STB approval (expected H2 2027) confirms the merger value; rejection would likely cut 30%+ off the price toward standalone value. Near term, the Oct 22 Q3 OR print decides whether the margin slippage is one-off or structural.

carloads across intermodal, metals, and automotive while the fixed cost base barely moves. [10-K FY25]

3. Operating Ratio Pressure: Adjusted OR already worsened 210 bps in Q2 and opex guidance was raised. Fuel costs and labor inflation are persistent headwinds to the OR improvement story. [8-K guid]

4. Legacy Costs and Leverage: Eastern Ohio incident costs and merger-related expenses keep recurring in adjustments. Debt of $16.6B at 116% debt-to-equity leaves limited cushion if earnings soften. [10-K FY25]

Forward Growth Drivers

- UP merger at $320/share value (1.0 UNP share + $88.82 cash), 25% premium, STB review advancing [8-K guid]
- Record $3.5B quarterly revenue on +4% volume and +11% YoY growth [8-K guid]
- Operating ratio recovery: GAAP OR from 76.5% (FY23) to 64.2% (FY25), $215M+ productivity savings [8-K guid]
- Intermodal and industrial demand improving across key markets in 2026 [8-K guid]

Missing / Modified Data Log

- FY26 consensus EPS not pulled; used company guidance and Q2 annualization.
- ROIC not explicitly disclosed; used operating ratio trajectory qualitatively.
- Eastern Ohio incident remaining reserves not broken out separately.
- Per-share EPS for FY23/FY24 removed from trend table (derived, not sourced); FY25 EPS $12.75 in key filing history.

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